HND 11 AUDIT NOTE (ACC 412)

AUDIT REPORT

The end product of all audit engagement is the audit report in which the auditor expresses his opinion as to the truth and fairness of the examined financial statement.

It is the finish product of the audit process. It conveys the quality of work done by the auditor. The auditor is expected to ensure quality audit report at call times; this is because, It is the report that the stake holders see as the work of the auditor. The report are generally governed by statutes and auditing standards. Ina notes shell audit report reveals the findings of the auditor to the users of financial statements.

Basic elements of an audit report.

An audit report should include the following basic element:-

- Title: - appropriate title should be used to help the reader to identify and distinguish it from other report. E.g. management report.
- Those to whom the report is address: this is based on the terms of engagement.
- The financial statements to which the report refers: - identify the financial statement by name or reference to their location in the document.
- A reference to statute under which the audit was carried out; e.g. the statutory provision and auditing standard.
- The auditor’s opinion: - there should be a written expression of opinion.
- The auditor’s signature: - it should be in name of the firm, the personal name of one or more partners, or both if they are joint auditors, the names of both firms must appear.

- The date of report: - this will consider the financial statement up to that date.
- The auditor's address: - this should include location usually the city.

Types of audit opinion

Generally the opinion express by an auditor over a financial statement is classified in to four as; 1) unqualified 2) qualified 3) adverse and 4) disclaimer opinion. Broadly speaking however, there are two types of audit opinion, the

1. Qualified opinion and
2. Unqualified opinion.

This is because adverse or outright disclaimer are all types of qualified audit opinion. It should be clear as to which type of opinion an auditor renders.

1. Unqualified audit opinion: - these are types of opinion that is issued when the auditor is satisfied in material respect with the matters dealt with when carrying out the review and assessment of the financial statement. The auditor normally states in this kind of report that 'in his opinion the financial statement he has examine show a true and fair view of the affairs
2. A qualified audit opinion:-this is issued when the auditor concludes that he cannot issue an unqualified opinion due to a disagreement or an uncertainty in the financial statement he audited, but that the effect of any disagreement or uncertainty is not as material and pervasive as to require an adverse opinion or disclaimer of opinion. It is divided into '' subject to'' opinion and ''except for'' opinion.

Circumstances for qualification of audit report

It's normally arises from uncertainty and disagreement.

1) **Uncertainty**:**-** this is a situation where the auditor is unable to express his opinion on the financial statement he has examined; this circumstances could be as a result of the following:-

a) **Limitation of scope of audit: -** this could arise when the auditor is unable to obtain all the information and explanation he considered necessary. (I.e. non availability of audit evidence) e.g. the inability to carry out audit procedures considered necessary like circularization of debtors, assess to proper accounting records. Etc.

b) **Inherent uncertainty: -** these are uncertainties arising from the very nature of the item or transaction so that it becomes impracticable for the auditor to reach an opinion as to the outcome of the item. E.g. outcome of long term contract, doubt on the eventual outcome of litigation or financial arrangement, doubts about the going concern status of the enterprise. Etc.

2) **Disagreement:-**this is a circumstance where by the auditor is able to form an opinion on a matter but this conflict with the view given by the financial statement; a disagreement may affect particular item(s) on the account or the account taken as a whole. Disagreement could arise as a result of :-

a) Non- compliance with legislation
b) Disagreement as to the manner of the disclosure.
c) Disagreement about facts and amounts included in the accounts.
d) Departure from acceptable accounting policies.
e) Non application of appropriate and relevant accounting standards.

Principles for qualification of audit report

- State the reason for qualification.
- Estimate and quantify the effects on the account if practicable.
- The report should be clear concise and unambiguous.

- Wording should reflect:
  - ❖ The nature of circumstances that led to qualification.
  - ❖ Degree of material.

Practical explanation of qualified audit report.

Nature	fundamental	material not fundamental
Uncertainties	‘’disclaimer opinion’’	‘’subject to opinion’’
Disagreement	‘’adverse opinion’’	‘’except for opinion’’

- ➢ Disclaimer:- a disclaimer of opinion would be express if the auditor is unable to express his opinion on the financial statement due to limitation placed on the scope of audit work or uncertainties affecting financial statement, the resolution of which is dependent on future event. E.g. company’s book seized by tax authority.
- ➢ Adverse opinion: - an adverse opinion would be expressed if there is departure from the generally accepted accounting principles an where such departure are very significant such that it is capable of misleading the users of financial statement; here the auditor will state that the account do not give a true and fair view of the affair of the company in his own view.
- ➢ Except for opinion:- this is a situation where the auditor disagree with an item or group of items presented in the financial statement but not on the whole account or financial statement, here the auditor states that ‘’except for’’ some areas of disagreement ,the account show a true and fair view of the affairs of the company.
- ➢ Subject to opinion: - this is a situation where the auditor is unable to express his opinion on an item or group of items in the financial statement but not the whole statement. i.e. where the circumstances that led to the qualification of

the opinion is not so significant as to require an adverse opinion, they express a qualified opinion with the word ``except for'' meaning except for matters pointed out, account show a true and fair view of the affairs of the company. I.e. the effect of uncertainty is not so fundamental to the financial statement.

Director's Responsibility.

1. The company law {the Company and Allied Matters Act, Cap C20 Laws of the federation of Nigeria} requires the directors to prepare financial statements for each financial year which gives a true and fair view of the state of affairs of the company and of the profit and loss of the company for that period.

   In preparing those financial statements, the directors are required to:-

   a. Select suitable accounting policies and apply consistently
   b. Make judgment and estimate that are reasonable and prudent.
   c. State whether applicable accounting standard have been followed.
   d. Prepared the financial statement on the going concern basis unless when it is inappropriate to presume that the company will continue in the business.
2. The directors are responsible for keeping accounting records which disclose with reasonable accuracy ta any time the financial position of the company and ensure that the financial statement comply with C.A.M .A.
3. The directors are responsible for safeguarding the assets of the company. (I.e. detection and prevention of frauds and other irregularities.)

The content of the directors' report as required by the Act includes:

- ✓ An indication of likely future development in the company's business.
- ✓ Dividend recommended
- ✓ Significant charges in fixed assets.
- ✓ Research and development activities.

- ✓ A description of principal risks and uncertainties facing the company.
- ✓ Particulars of important events affecting the company that have occurred since the end of the financial year.
- ✓ Amount to be put to reserve.
- ✓ Difference between market and book value of land.
- ✓ Names of directors.
- ✓ Directors interest in shares and debentures.
- ✓ Company's interest in its own shares.
- ✓ Employment of disable persons. Etc.

Auditors' responsibilities as regards to the Directors' report.

1. The auditor is engage to examine the accounts prepared by the directors and report in his opinion as to whether the account shows a true and fair view of the company's state of affairs and also to state whether the company has complied with the provision/ requirement of International financial reporting standard, status and applicable guidelines as provided by the government. It is the duty of the auditor to exercise great care and skill in the process of carrying out his audit assignment; this is for the fact that his report is expected to reflect a reality and more so the Act imposes penalty or liability on him for any negligence or carelessness.
2. The Act provides that a company's auditor shall make a report to the members of the company for all annual accounts of the company of which copies are to be laid before the company at general meeting during their tenure in office.
3. The Act requires the auditor to state explicitly whether in the auditor's opinion the annual accounts have been properly prepared in accordance with the Act and in particular whether a true and fair view is given in the following areas:

a) The balance sheet of the company's state of affairs at the financial year end.

b) The profit and loss account of the company's profit or loss for the financial year and
c) In the case of group accounts of the state of affairs at the end of financial year and the profit and loss for the year of the undertakings included in the consolidation so far as concerns members of the company.

4. Furthermore, it is the auditor's duty to consider whether the information given in the director's report for the financial year for which the annual account are prepared is consistent with those accounts and if they(He) is of the opinion that it is not they(he) shall state that fact in the report.
5. Besides reporting on the truth and fairness and presentational compliance, the auditor has the responsibility of reporting on whether:

- Proper accounting records have been maintained.
- They have received all the information and explanations they requested for audit purposes including those relating to subsidiaries.
- The accounts and the records are in agreement.
- Returns adequate for audit purpose have been received from branches not visited.

Basis of opinion

Auditors should explain the basis of their opinion by including in their report the following:

a) A statement as to their compliance o otherwise with accounting standards together with the reason for any departure there from.
b) A statement that audit process includes
   I. Examining on a test basis evidence relevant to the accounts and disclosure in the financial statements

II. Assessing the significant estimates and judgments made by the reporting entity's directors in preparing the financial statement.
III. Considering whether the accounting policies are appropriate to the reporting entity's circumstances, consistently applied and adequately disclosed.

c) A statement that they planned and performed the audit so as to obtain reasonable assurance that the financial statement are free from material misstatement whether caused by frauds or other irregularities or errors and that they have evaluated the overall presentation of the financial statement. Where departure from the auditing standards occurs (i.e. where it is necessary to carry out audit properly) that should be explained with clear reasons.

In all cases, the auditor's report should convey an opinion on the financial statement which is the point of concern of the members.

The report should be made up of;

I. A title:- identifying the person to whom the report is addressed e.g. auditor's report to B&B Nig. ltd.
II. An introductory paragraph: - identifying the financial statement studied. E.g. profit and loss account, Balance sheet, sources and application of funds.
III. Separate section paragraphs with headings on;
    - Respective responsibility of directors and auditors.
    - The basis of the auditor's opinion i.e. in accordance with auditing standard.
    - The auditor's opinion.
    - Printed signatures of the auditors.

- Date of the reports.

COMPANY AND ALLIED MATTERS ACT AND THE AUDITOR.

Appointment of auditor: - the act provides that every company is expected to appoint an auditor (Seec.357 (1) provides that at the AGM a company shall appoint auditor(s) to hold office from the conclusion of that meeting until the conclusion of the next AGM.

Sec 357(5) provides that, before the first AGM the directors may appoint an auditor to hold office until the end of the accounting year when the firs AGM would be held.

Sub section (6) of the same section gives the auditor the power to any casual vacancy created by either death, insanity or any other casualties.

At the AGM the retiring auditor may be reappointed except where:-

- He is not qualified for reappointment.
- A resolution has been passed at the AGM appointing someone else or providing expressly that he shall not be reappointed.
- He has given the company a written of his unwillingness to be reappointed.

Duties/ responsibilities of the auditors

Sec.360 of the act states the duties of an auditor as follows:-

- To make report to the members in a meeting during his tenure.
- To include in his report a statement concerning;
    a. Compliance with act and other legislations.
    b. Truth and fairness of the financial statement.
- To investigate whether or not
    a. Proper record had been kept.

b. Proper returns have been received.
c. The accounts are in agreement with returns.

- To includes in his report instance where there is failure in any of the a-c mentioned above.
- To includes in his report any failure to obtain all information and explanation necessary for the purpose of the audit.
- To consider if the information in the director's report is consistence with the account and to report in the level of inconsistency.

Concept of true and fair view

The auditor is expected to attest whether a set of account gives a true and fair view and comply with all relevant legal and professional frameworks. The CAMA specifically mention the true and fair view in section 359 and schedule 6 in respect of the reports of auditors of a limited liability companies.

Meaning:-

True means information is factual and conforms to reality not false. In addition the information is in line with standards and laws.

Fair means information is free from discrimination and bias and in compliance with expected standards and rules.

The accounts should reflect the commercial substance of the company underlying the transaction.

Criteria for determining whether financial statements present a true and fair view:-

A company's financial statement is said to give a true when;

a. The requirements of statutes are complied with.
b. All applicable accounting standards are complied with.
c. If no accounting standards are available, industry accounting principles are followed.
d. Accounting policies are consistently applied in the period and in the prior periods.
e. Transaction and balances are complete, accurate and valid.
f. The view presented is consistent with the nature of the entity's business and events occurring during the period.
g. The transactions and balances have been properly classify and presented. And
h. All material items have been adequately disclosed.

Read the following sections 361 for remuneration and sec.362 for removal of the auditor.